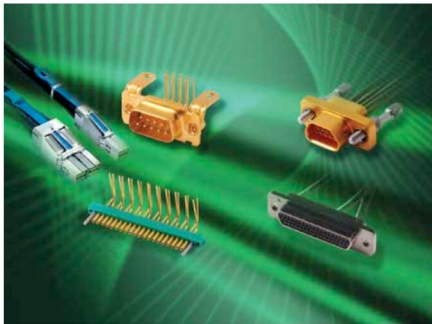


The Indian Market for Connectors

While consumer and telecom sectors will continue to drive the demand for connectors, the next wave of growth is coming from transportation (especially railways) and power and energy



UMA GUPTA

The overall size of the Indian connector market in FY2009-10 was \$607 million. The country depends on imports to meet more than half of its connectors demand, i.e., around 60 per cent, while the rest 40 per cent is met by local manufacturing. The domestic industry also exports to some extent (worth \$97 million) while catering to the local demand—according to ELCOMOS report by ELCINA.

In fact, most of the companies manufacturing connectors in India are MNCs and there are only a few Indian manufacturers.

“The MNCs bring in a great deal of experience to this market and use this to their advantage by quickly

adapting to the local requirements. Also, it is easy to adapt rather than re-inventing the wheel. The financial backup also plays an important role in quickly making investment decisions in the right areas of focus,” explains Rajaram Srinivas, marketing manager,

“**Modern trains carry much more complex electrical networks today than a few years ago. At the same time, our signaling system must become even more intelligent to manage the ever-increasing rail traffic. All this needs a lot of modularity and plug-and-play systems, which is fuelling the demand for connectors that carry power, signal and data** —Girish Rao, CEO, HARTING India



Molex (India).

Consumer durables (30 per cent), telecommunication (27 per cent), and IT and office automation (24 per cent) are the sectors that account for the major portion of the current demand for connectors. Demand from telecommunication and consumer durables sectors is estimated to be growing at 30 per cent and 18 per cent, respectively.

The countries that India exports to include the USA, the UK, South Africa, Australia, Italy and Russia. The export market was estimated at \$97 million in FY 2009-10. It is expected to grow exponentially over the next few years with companies like Amphenol and Tyco Electronics increasing their production capacity to cater to both local and international demands.

With global companies setting up production or assembly plants, connector manufacturers are optimistic that these companies would initiate sourcing of components from India rather than importing them from countries like China and South Korea. This will, in turn, increase the local production.